

ECONOMICS

9708/12

Paper 1 Multiple Choice

May/June 2019

1 hour

Additional Materials: Multiple Choice Answer Sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

* 8 0 9 7 3 9 1 7 3 9 *



READ THESE INSTRUCTIONS FIRST

Write in soft pencil.

Do not use staples, paper clips, glue or correction fluid.

Write your name, centre number and candidate number on the Answer Sheet in the spaces provided unless this has been done for you.

DO NOT WRITE IN ANY BARCODES.

There are **thirty** questions on this paper. Answer **all** questions. For each question there are four possible answers **A, B, C** and **D**.

Choose the **one** you consider correct and record your choice in **soft pencil** on the separate Answer Sheet.

Read the instructions on the Answer Sheet very carefully.

Each correct answer will score one mark. A mark will not be deducted for a wrong answer.

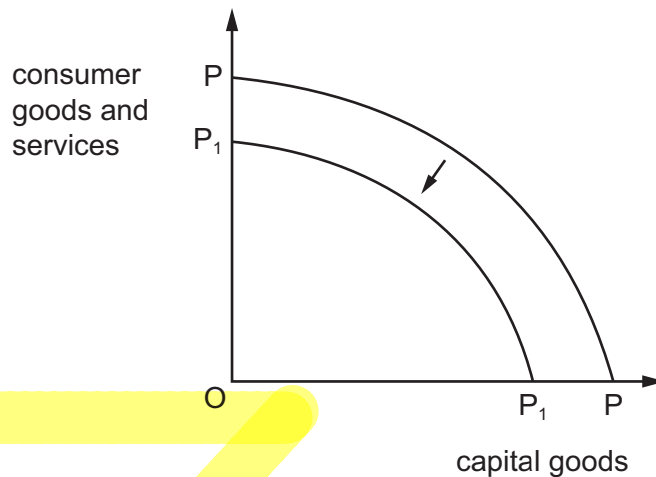
Any rough working should be done in this booklet.

Done

This document consists of **11** printed pages and **1** blank page.



- 1 A production possibility curve for a country is shown.



What would cause the shift from PP to P_1P_1 ? *Shift inwards*

- A application of more machinery used in manufacturing
- ☒ B productivity decreases (*Ability ↓*)
- C scientific methods applied to farming
- D switch from production of consumer goods to capital goods

Refers to growth

- 2 A government wants to move its economy away from central planning towards a market economy.

Which policy would be consistent with this aim?

- A introduce tariffs on imported goods *Role of Govt*
- ☒ B privatise the ownership of electricity generation *Privatisation (market economy)*
- C provide free education for primary school pupils *Role of Govt*
- D reduce prices of foods such as wheat and rice *Role of Govt*

- 3 What would be a determinant of a country's production possibility curve boundary? *It is determined by the quantity and quality of factor of production*

- ☒ A the capital invested in infrastructure (*capital*)
- B the level of price and wage inflation
- C the level of unemployed labour *→ Influences output*
- D the volume of imports and exports

4 What justifies government intervention in the provision of a merit good such as education?

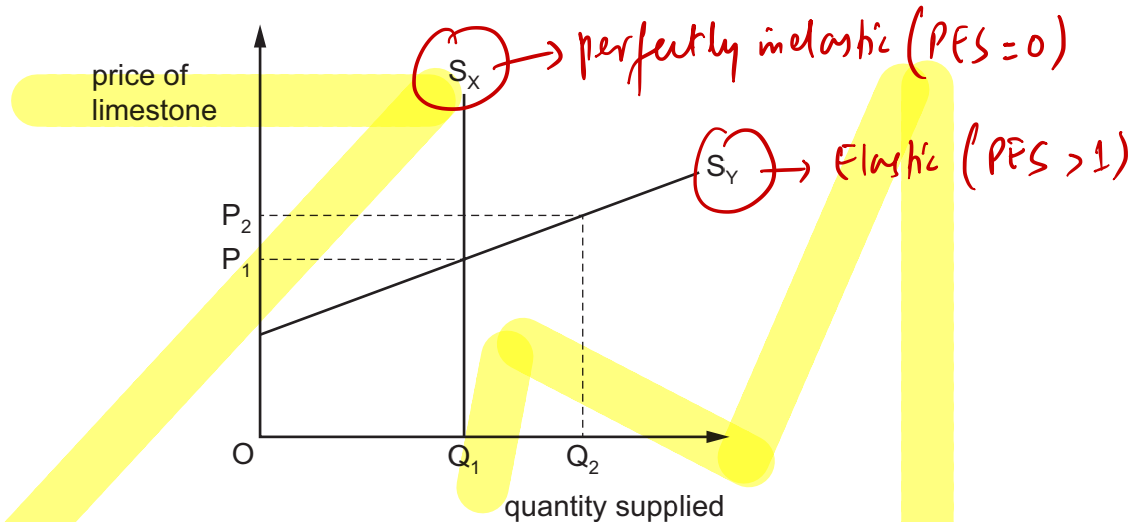
A People who pay for education value it more than those who cannot pay. *No*

B Private schools have more merit than state schools. *No*

C Social costs of providing education outweigh social benefits of education. *No*

☒ D Some consumers do not fully recognise the value of education. *lack of information*

5 The diagram shows the supply of limestone from quarry X and quarry Y at two prices.



What is the measure of the responsiveness of supply as the price increases from P_1 to P_2 ?

	S_X	S_Y
☒ A	0 <i>✓</i>	>1 <i>✓</i>
B	<1	1
C	1	<1
D	>1	0

6 What is a perfectly contestable market? *A2 Qs (Removed by CIE)*

A a market in which the costs of entry and exit are zero

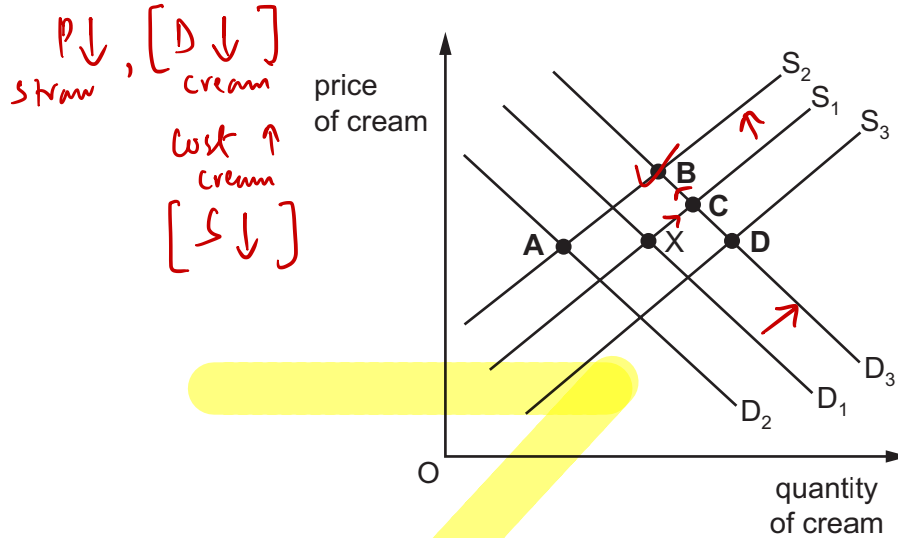
B a market in which there are high barriers to entry

C a market that has high sunk costs

D a market that uses price discrimination

- 7 The diagram shows the demand for and supply of cream. The original equilibrium is point X. Strawberries and cream are complementary goods.

If the price of strawberries falls and the cost of producing cream increases which point represents the new equilibrium?



- 8 Hunters in Mozambique want to extract wild honey from beehives. They find the beehives by following birds known as honeyguide birds who want the beeswax that is also found in the beehives.

What does this suggest?

A Hunters and honeyguide birds are rival consumers.

B Wild honey and beeswax are free goods. *No*

☒ C Wild honey and beeswax are in joint supply.

D Wild honey is the opportunity cost of beeswax. *No, available together*

* Joint supply is an economic term referring to a product or process that can yield two or more outputs. Common examples occur within the livestock industry: cows can be utilized for milk, beef, and hide. Sheep can be utilized for meat, milk products, wool, and sheepskin.

- 9 What follows if the income elasticity of demand for a good has a value of -0.2? *Inferior good*

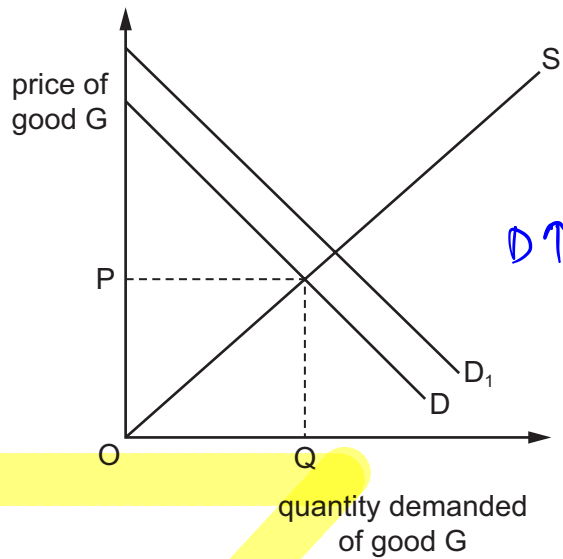
☒ A When income rises less of the good is bought. *$Y \uparrow D \downarrow$*

B When income rises more of the good is bought. *Normal good, $YED = +ve$*

C When price falls more of the good is bought.

Law of demand
☐ D When price rises less of the good is bought.

10 The diagram shows the relationship between price (P) and demand (D) for a normal good G.



What would cause a shift to D_1 ?

- A a decrease in the price of a substitute good $D \downarrow$
 - B a fall in the level of advertising for the good G $D \downarrow$
 - C a rise in the price of good G *movement*
 - ☒ D an increase in the incomes of consumers $D \uparrow$
- 11 What is most likely to cause an increase in the consumer surplus in the market for a normal good?

- ☒ A an increase in consumer incomes $D \uparrow$, willingness to pay $\uparrow$
- B an increase in the number of substitute goods *Elastic demand, lower C.S*
- C an increase in the price of a complementary good $D \downarrow$, C.S $\downarrow$
- D an increase in the price of the good $P \uparrow$ C.S $\downarrow$

12 The cross elasticity of demand between two products, X and Y, is negative. *complements*

What would be the immediate effect of a rise in the price of product Y?

- ☒ A Quantity demanded of product X will fall. $P_Y \uparrow \rightarrow \Delta X \downarrow (QD_X \downarrow)$
 - B Supply of product X will rise. *concept of demand required*
 - C The cross elasticity of demand will rise. *This means substitutes*
 - D The price of product X will rise. *It will fall*
- $\swarrow \quad \searrow$
 $-ve$

13 Which combination of events is most likely to leave the demand curve for a normal good in the same position?

- A ☒ a decrease in consumer incomes $D \downarrow$ and an increase in the price of a substitute good $D \uparrow$ *unchanged*
- B ☐ a decrease in consumer incomes $D \downarrow$ and an increase in the price of the good $D \uparrow$ *movement*
- C ☐ an increase in consumer incomes $D \uparrow$ and an increase in the price of a substitute good $D \uparrow$ *movement*
- D ☐ an increase in consumer incomes $D \uparrow$ and an increase in the price of the good $D \uparrow$ *movement*

14 Which of the following is a transfer payment?

- A ☐ the advertising expenditure of a firm
- B ☒ the allowance given by a parent to their child while at school
- C ☐ the rent paid to a land owner by a tenant farmer
- D ☐ the wage paid to a worker in the government service

A transfer payment is a payment of money for which there are no goods or services exchanged. Transfer payments commonly refer to efforts by local, state, and federal governments to redistribute money to those in need. In the U.S., Social Security and unemployment insurance are common types of transfer payments.

15 Too much sugar causes an increase in a consumer's weight. A government has introduced a 'sugar tax' on the consumption of soft drinks that have a high sugar content.

How might this policy help to reduce the number of overweight people?

- A ☐ Consumers switch to cheaper brands of soft drink with a high sugar content. *Still overweight*
- B ☐ Consumers switch to other high-sugar substitute goods, such as alcohol or sweets. *Still overweight*
- C ☐ The price elasticity of demand for soft drinks is inelastic. $P \uparrow QD \downarrow$, *Still overweight*
- D ☒ The tax revenue is spent on education about the dangers of soft drink consumption. *Advertising (wedge)* *Demand $\downarrow$*

16 A government intends to introduce a minimum price for rice, a maximum price for heating oil and a tax on chewing gum. *Producers* *Consumers* *For Tax revenue (government)*

Who, in each market, is meant to benefit from these policies?

	market for rice	market for heating oil	market for chewing gum
A	consumers	government	producers
B	government	producers	government ☒
C	producers ☒	producers	consumers
D	producers ☒	consumers ☒	government ☒

- 17 A Southern African government was concerned about the market influence of a large producer and was keen to take control of the company.

What might be the possible result of this?

- A an increase in the role of the market *Government is taking control*
 B an increase in public ownership *Government control ↑*
 C an increase in the role of the consumer *less*
 D an increase in the amount of competition *less*

- 18 What describes a regressive tax? *(sales tax) → Impact on poor*

- A All taxpayers pay the same proportion of income in taxes.
 B High-income earners pay a lower proportion of income in taxes than low-income earners.
 C High-income earners pay less in taxes than low-income earners.
 D High-income earners pay more in taxes than low-income earners.

- 19 A country has a fixed exchange rate.

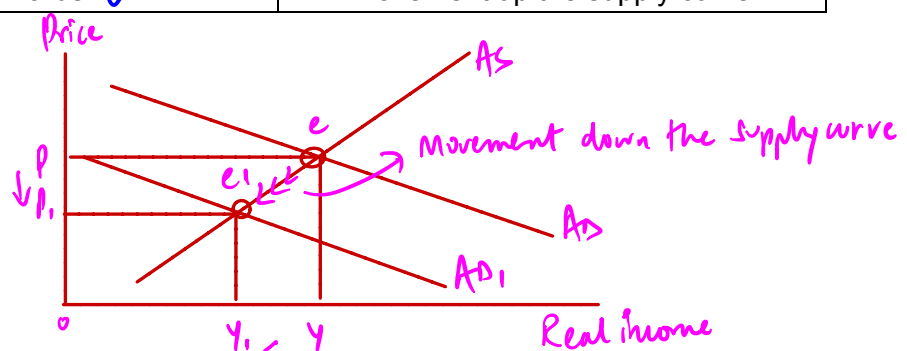
Which combination of problems would be most likely to cause the country's government to reduce taxation and lower interest rates?

- A demand inflation and a balance of payments current account deficit *Tax ↓ AD ↑ P ↑ R ↓ C ↑ M ↑ Deficit ↑*
 B demand inflation and a low level of investments *Tax ↓ AD ↑ Inflation ↑*
 C high unemployment and a balance of payments current account deficit *R ↓ C ↑ M ↑ Deficit ↑*
 D high unemployment and a low level of investment *Tax ↓, C ↑ IT, AD ↑, V ↓ R ↓ IT*

C ↓ → AD ↓

- 20 How can a change in consumption that increases unemployment be illustrated on an aggregate demand and aggregate supply diagram?

	effect on the aggregate demand curve	effect on the aggregate supply curve
A	movement down the demand curve	shift outwards
B	movement up the demand curve	shift inwards
C	shift inwards ✓	movement down the <u>supply curve</u>
D	shift inwards ✓	movement up the supply curve



21 What is not an item in a country's current account of its balance of payments?

A exports of primary commodities

B money received from banking services

☒ C overseas investment (Financial A/c)

D profits sent back by companies overseas

] BoT

→ net incomes / Primary incomes

ER must lie between the opportunity cost ratios of 2 countries, then they will gain.

22 A country decides to remove all its tariffs and engage in free international trade.

What will be the final decision the country has to make before free trade takes place?

A deciding which resources to allocate to the production of goods and services for international trade

B deciding which goods and services should be provided for international trade

C identifying the opportunity costs of production of goods and services which might be used for international trade

☒ D setting an appropriate exchange rate for the international trade of goods and services

23 What is assumed to be constant when drawing an aggregate demand curve?

A government tax revenue

B interest rates, & and prices, +ve relationship, movement factor.

C the level of unemployment

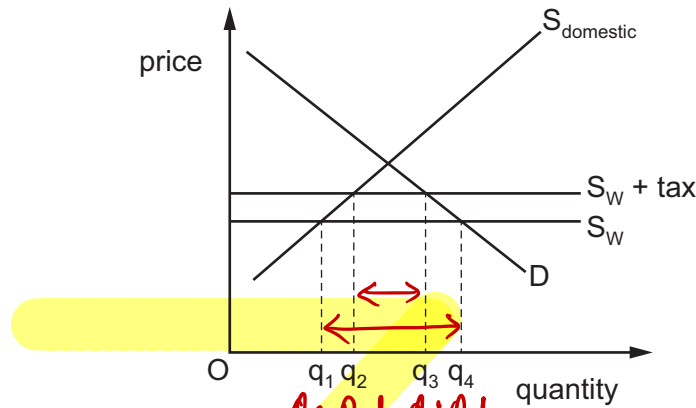
☒ D the money supply

↳ It shifts AD

24 The diagram shows the imposition of an import tariff.

S_W is world supply.

$S_W + \text{tax}$ is world supply after the tariff is imposed.



Which statement is not correct?

- A Domestic demand will fall from q_4 to q_3 . ✓
- B Imports will change from q_1q_4 to q_2q_3 . ✓
- ☒ C Imports will fall from q_4 to q_3 . *That's q_d*
- D Supply of domestic goods will increase from q_1 to q_2 . ✓

25 An economy is experiencing a period of deflation.

What must be happening?

- ☒ A The average price level is falling.
- B The output of the economy is falling. *AD ↓ or AS ↓*
- C The rate of inflation is falling. *Dis-inflation*
- D The real value of money is falling. *Inflation*

Persistent and sustained fall in general price level over a given period of time.

26 A British citizen buys a house in the US which he rents to American citizens in order to receive an income for himself.

Where will the initial purchase and then the rent be recorded on the UK balance of payments?

	initial purchase	rent
A	capital account export	current account import
☒ B	capital account <u>import</u>	current account <u>export</u>
C	current account export	capital account import
D	current account import	capital account export

money going out

money coming in

current account (Net incomes)

27 Under a system of floating exchange rates, what determines the foreign exchange value of a currency?

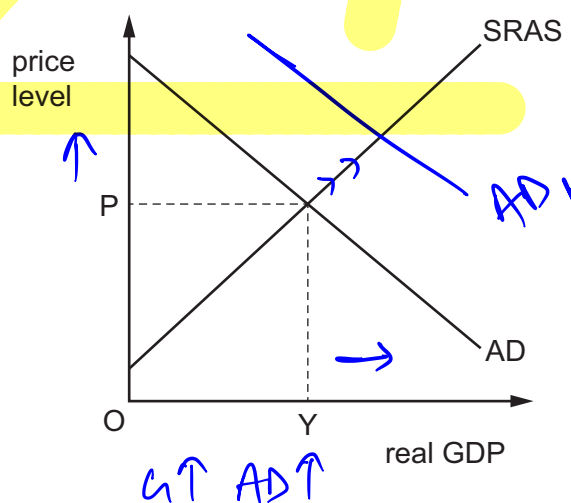
- ☒ A the overall supply of and demand for a currency on currency markets *Equilibrium Diagram*
☐ B the purchasing power of the currency relative to the purchasing power of foreign currencies
☐ C the surplus or deficit on the balance of payments on current account
☐ D the differential between domestic and foreign interest rates

28 A country with a balance of trade deficit raises interest rates.

How may this help to reduce the deficit in the short run?

- A by increasing the inflow of foreign direct investment → Nothing to do with trade deficit
 B by lowering the foreign exchange rate & ↑ ER ↑ cost of capital borrowing ↑
 C by raising the level of domestic capital investment
☒ D by reducing the level of domestic aggregate demand & ↑ C ↓ M(TE) ↓ Deficit ↓

29 An economy is currently in the position PY shown on the diagram.



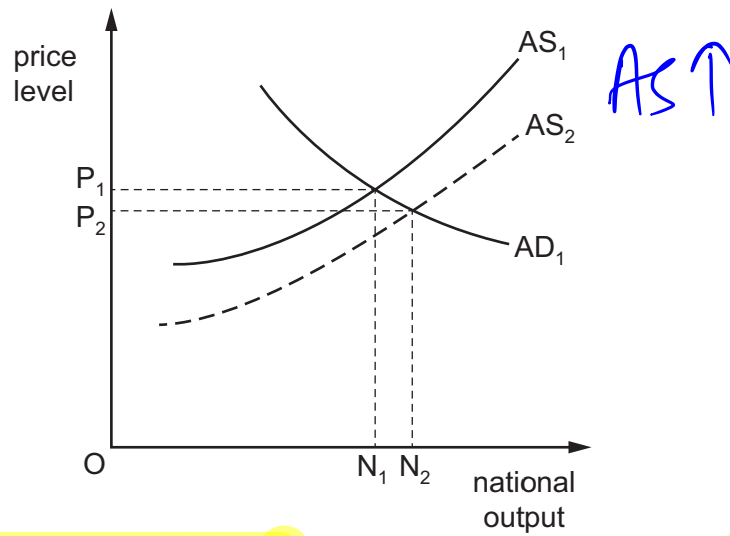
Which short-run effects is government spending on education likely to have on unemployment and inflation?

	unemployment	inflation
☒ A	fall	fall
☐ B	fall	rise
☐ C	rise	fall
☐ D	rise	rise

→ Rise as prices ↑ due to shift in AD

→ falls as Real GDP ↑

30 The diagram shows the AD/AS curves for an economy.



Which policy would reduce the price level from P_1 to P_2 as shown?

- A depreciating the currency to make imports more expensive AS ↓
- B imposing tariffs on imports to encourage expenditure switching AD ↑
- ☒ C increasing labour productivity through training AS ↑
- D raising sales taxes on goods to discourage consumption AS ↓

efficiency ↑
productivity ↑

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